Complete Class Summary - GEX / GEXBot

Visual study notes with black background

> Note: educational class summary. This is not financial advice and not a trading signal.

1. Main topic

The class explains how to use Gamma Exposure (GEX) and GEXBot to trade NQ/NDX/QQQ through levels, volatility, and order flow. The main idea is to build a market map:

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GEX + volume + volatility + order flow = operational map
```

The goal is not to enter a trade just because a level appears. The correct process is:

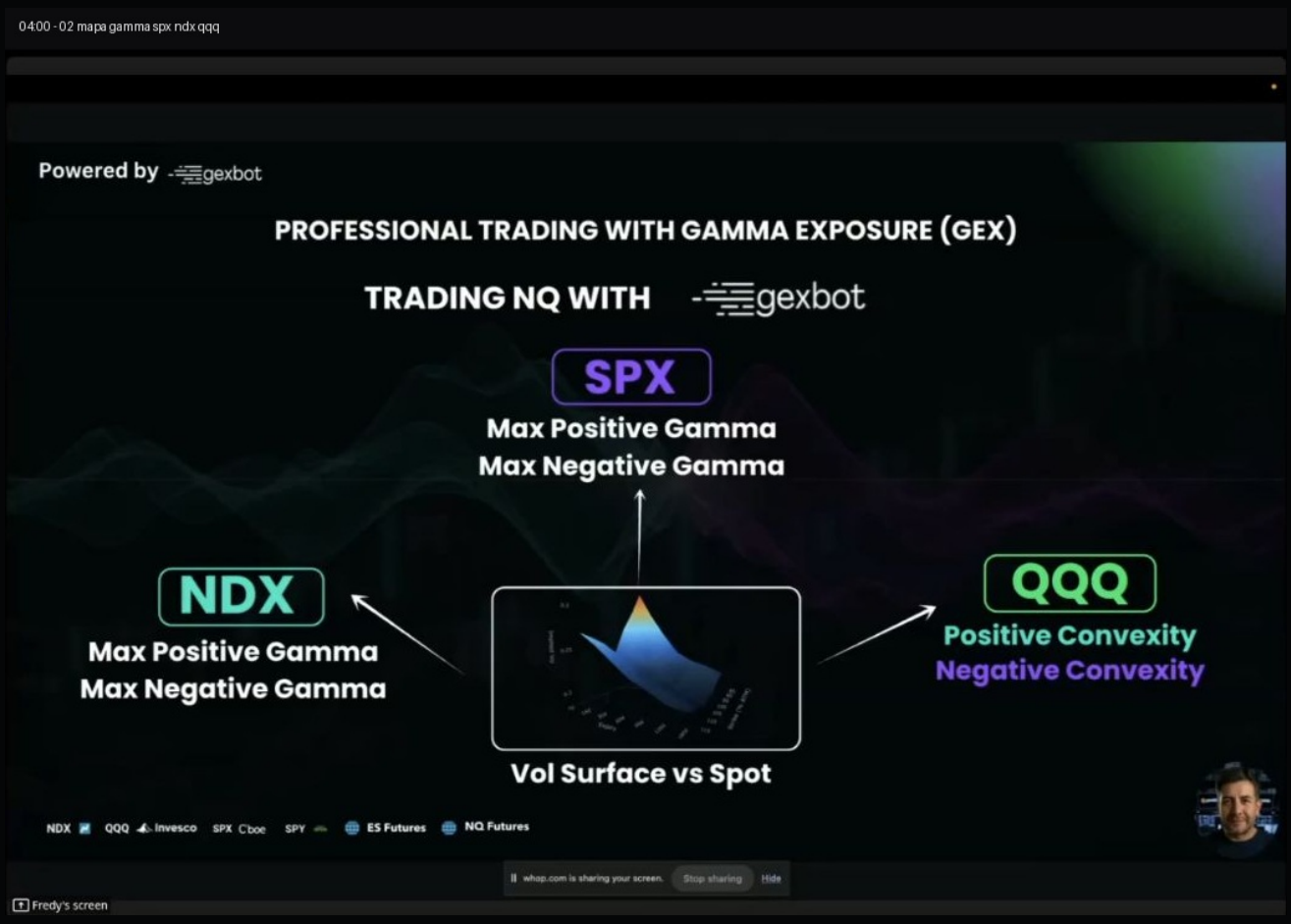
- ? Identify the volatility regime.
- ? Mark important gamma / open interest levels.
- ? Wait for price to reach the zone.
- ? Read the reaction through tape, delta, volume, and order flow.
- ? Manage risk close to the level.



GEX NQ Title

2. What GEX means in this class

GEX works as a lens to see where options-related pressure is concentrated. It helps identify whether a zone may act as friction, a magnet, support/resistance, or an acceleration point.

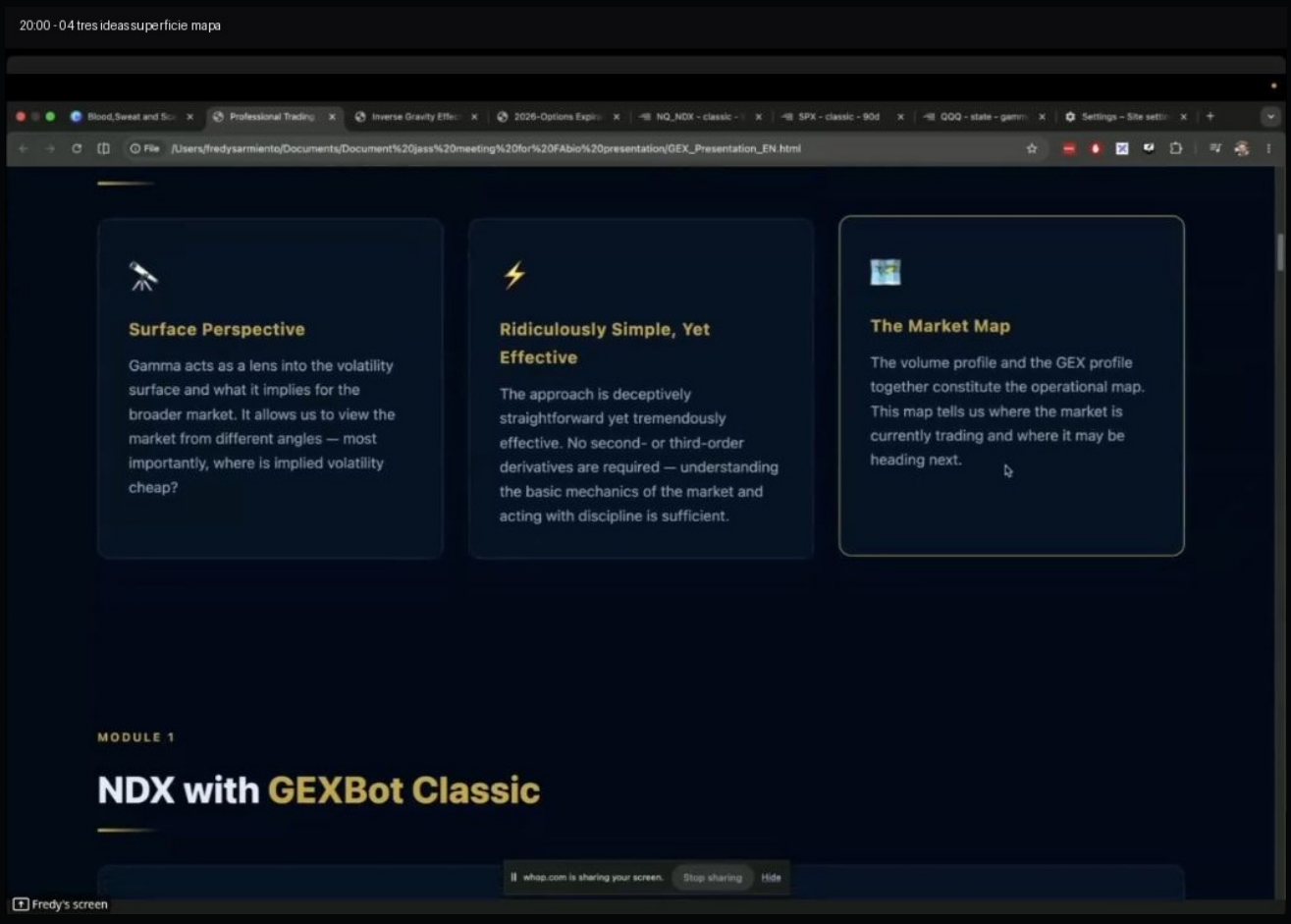


SPX NDX QQQ Gamma Map

The class connects:

- ? NDX / NQ: max positive gamma and max negative gamma.
- ? SPX: key gamma levels for the broader market.
- ? QQQ: positive convexity and negative convexity.
- ? Vol Surface vs Spot: the relationship between price, expiry, strike, and implied volatility.

3. The three core ideas



Three Core Ideas

Surface Perspective: Gamma lets you view implied volatility as a surface, not as a single isolated number.

Simple but effective: You do not need advanced formulas to use this operationally. What matters is understanding the mechanics and acting with discipline.

Market Map: The volume profile and the GEX profile together create a map: where the market is trading and where it may react next.

4. Operational framework

```
flowchart TD
    A["Volatility regime"] --> B["Macro structure"]
    B --> C["Intraday context"]
    C --> D["Large GEX / Open Interest nodes"]
    D --> E["Wait for price to approach"]
    E --> F["Read tape, delta, and order flow"]
    F --> G["Confirm the entry"]
    G --> H["Manage risk close to the level"]
```

The practical phrase is: level first, reaction second, entry last.

5. GEXBot Classic

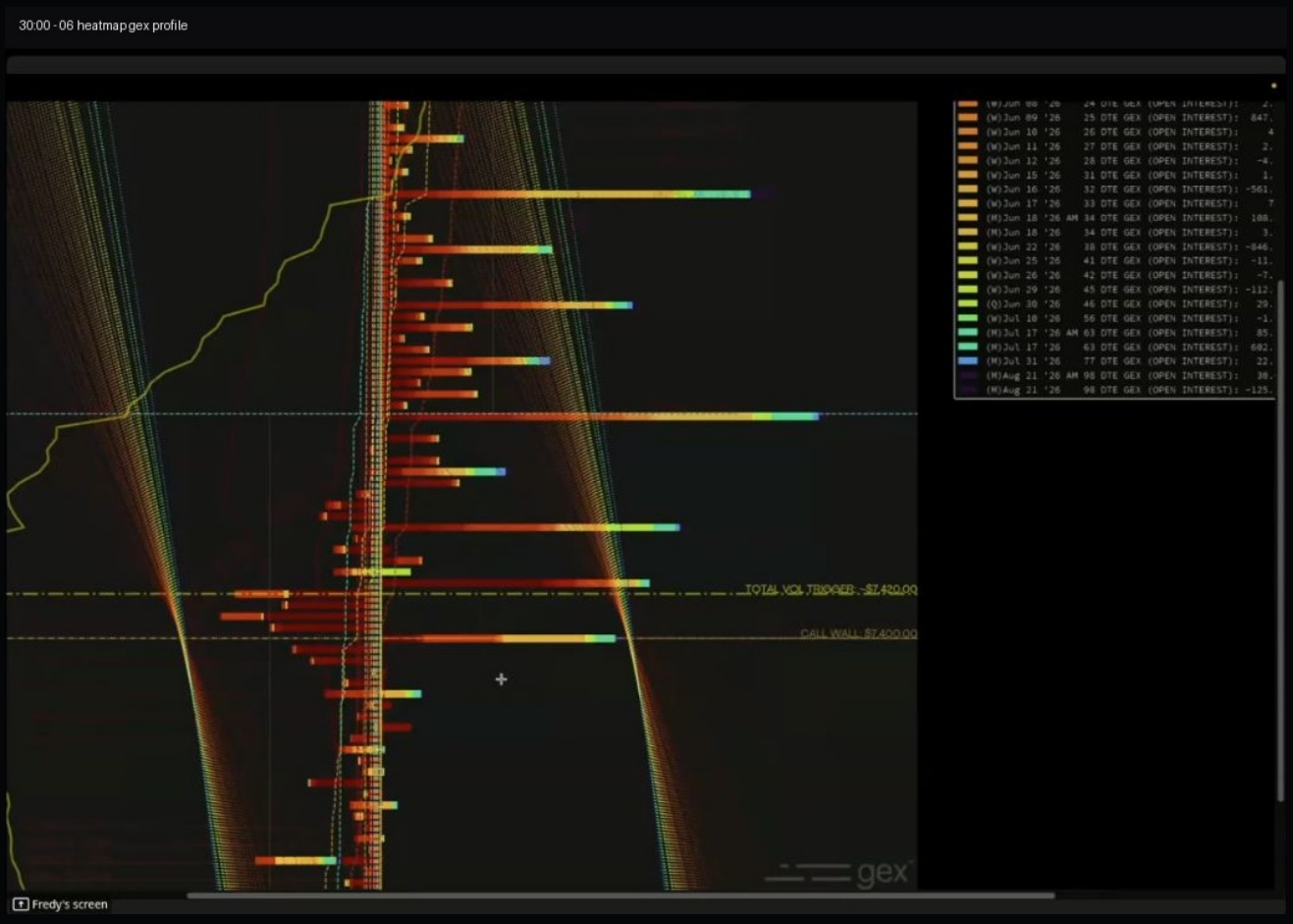


GEXBot Classic

GEXBot Classic shows horizontal levels and open-interest-based profiles. It is used to locate areas where price may react.

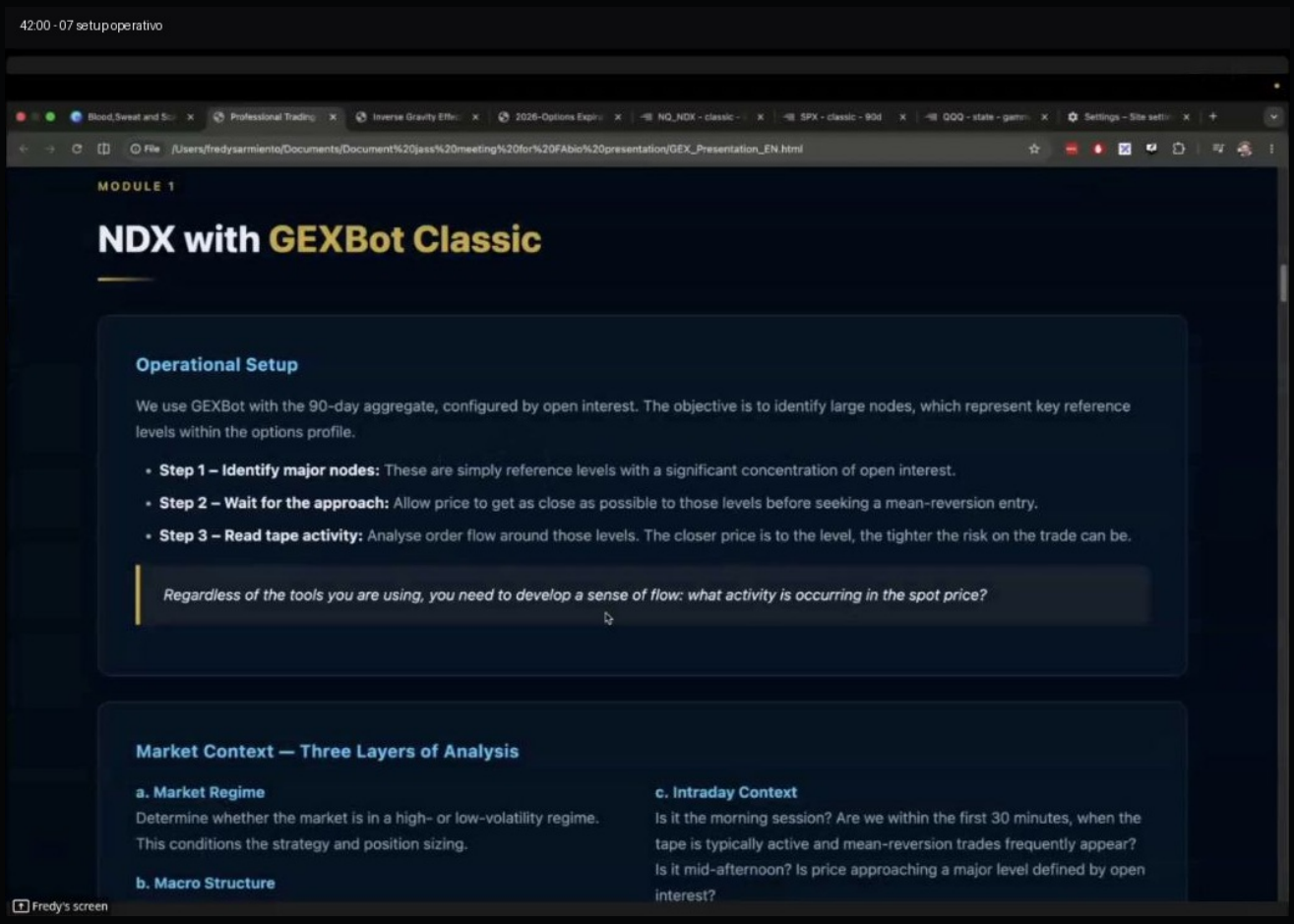
Important points:

- ? Large bars are reference zones, not automatic entries.
- ? The closer price is to the node, the more precise the risk can be.
- ? If price is far from the level, the opportunity is not ready yet.
- ? The map must be combined with real flow: volume, delta, tape, and speed.



GEX Profile Heatmap

6. NDX operational setup



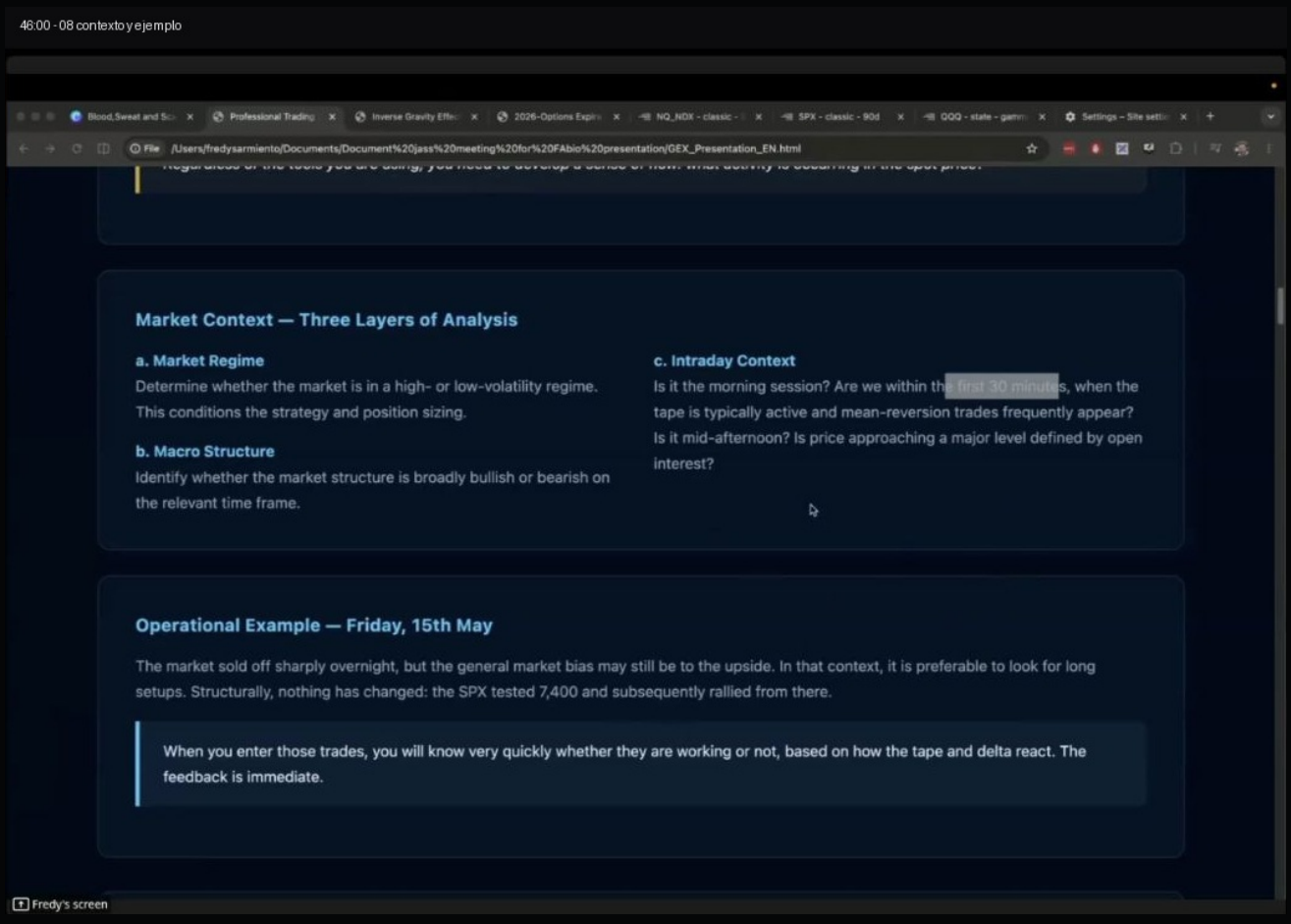
Operational Setup

The class summarizes the setup in three steps:

- ? Identify major nodes: find levels with a large concentration of open interest.
- ? Wait for the approach: wait until price moves close to the level.
- ? Read tape activity: watch for absorption, rejection, continuation, or failure.

The most important skill is developing a feel for flow: what is happening in the spot price while it approaches the level.

7. Market context



Market Context and Example

The class uses three context layers:

- ? Market Regime: high or low volatility.
- ? Macro Structure: bullish, bearish, or range-bound structure.
- ? Intraday Context: open, first 30 minutes, midday, or proximity to key levels.

Example: the market may sell off strongly overnight, but if the broader structure is still bullish, the plan may be to look for long setups at a key zone instead of chasing shorts.

8. Practical NQ / NDX example



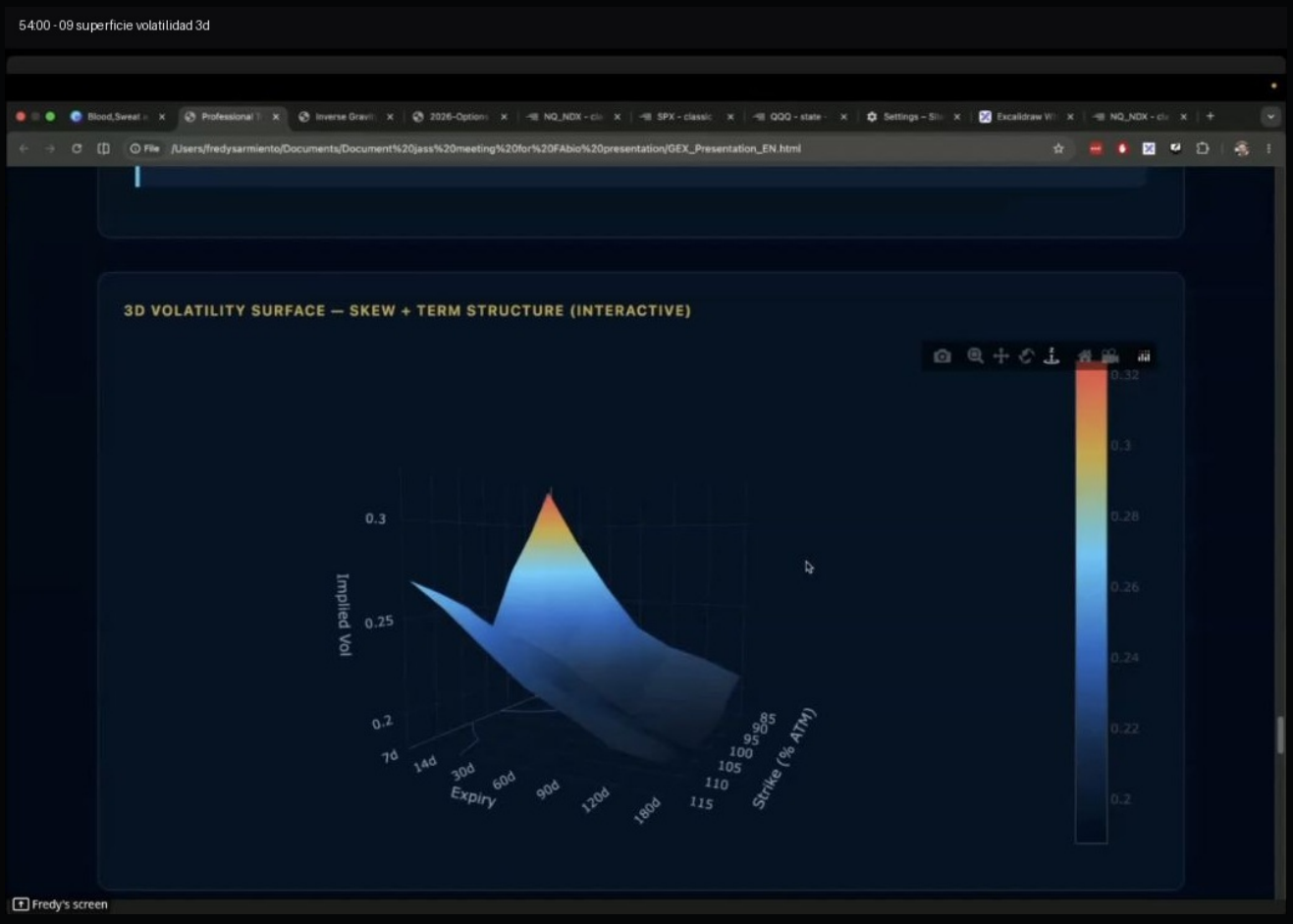
NQ Node Example

The example shows price dropping into an important zone, reacting, and then managing the position. The note about adding one more contract appears after a favorable reaction, not before.

Correct sequence:

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Key zone -> reaction -> confirmation -> management
```

9. Volatility surface



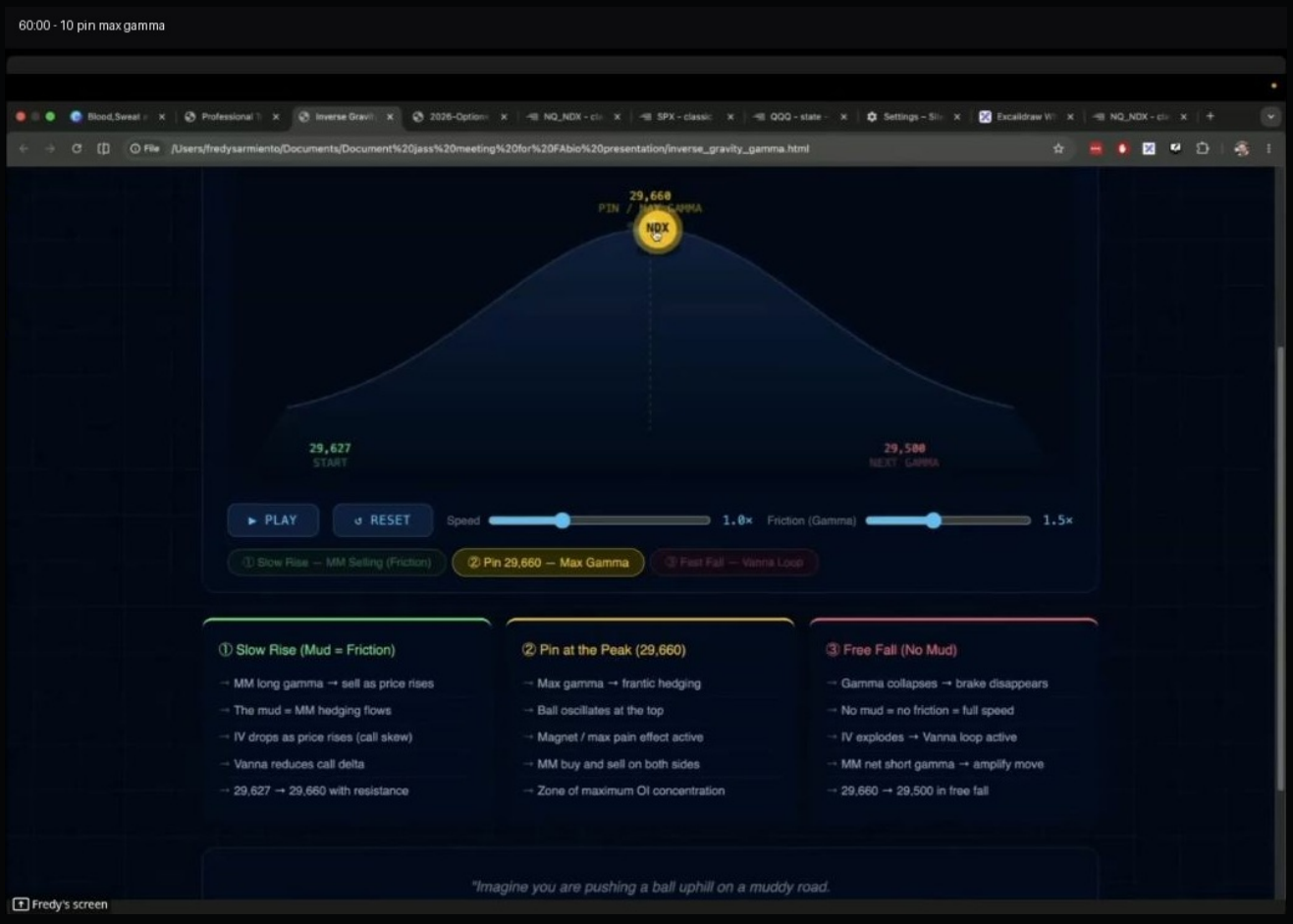
3D Volatility Surface

The volatility surface combines three axes:

- ? Strike: exercise price.
- ? Expiry: expiration date.
- ? Implied Volatility: expected volatility priced by options.

It helps show where volatility is expensive/cheap and how the structure changes across price and time.

10. Max Gamma: friction, pin, and free fall



Max Gamma Pin

The class uses a ball metaphor:

- ? Slow Rise / Mud = Friction: when market makers are long gamma, their hedging can create friction.
- ? Pin at the Peak / Max Gamma: near max gamma, price may oscillate and become magnetized.
- ? Free Fall / No Mud: if gamma disappears, the brake disappears and price can accelerate.

Key idea: some levels slow price down, some attract it, and some can release a fast move if broken.

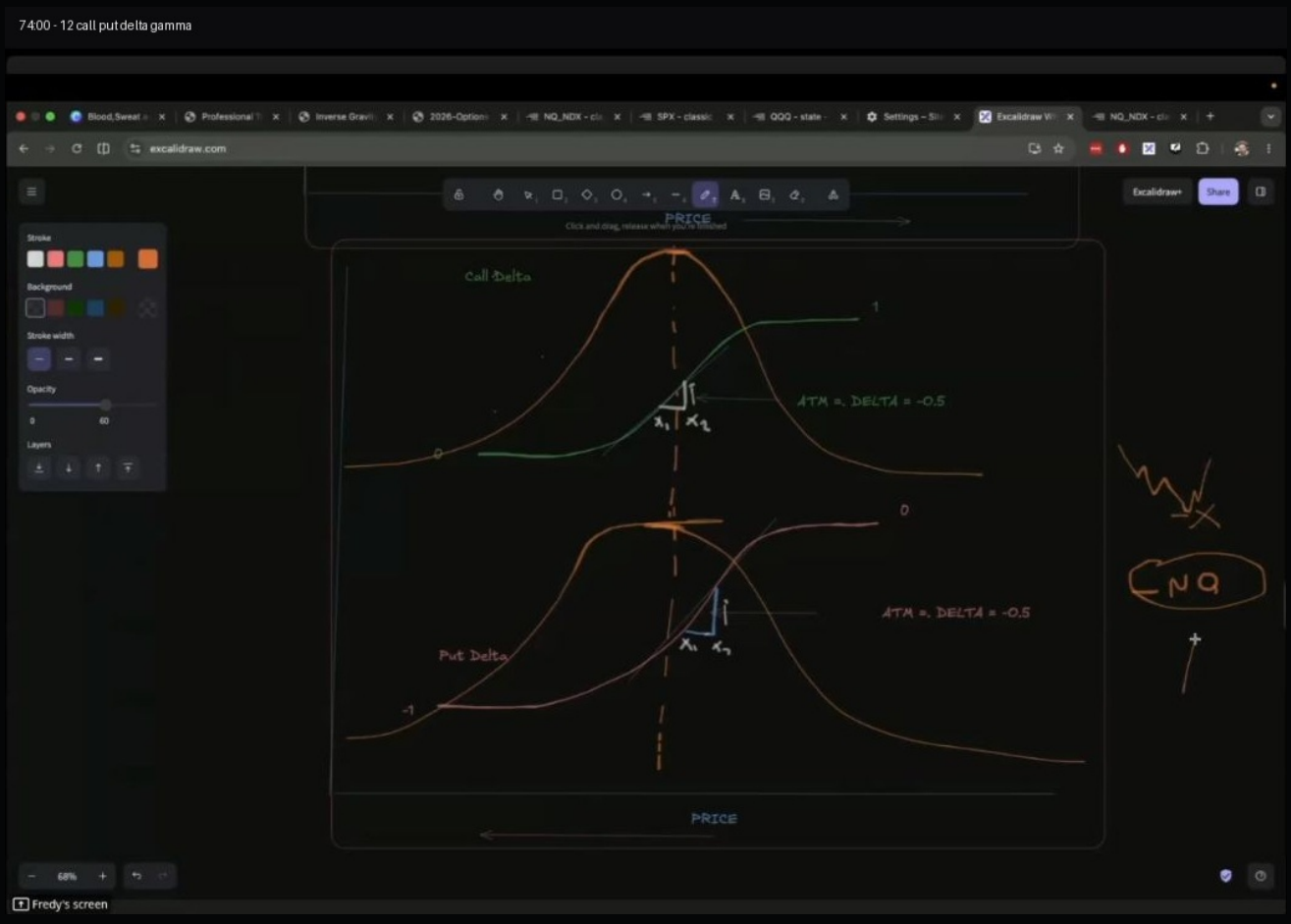
11. Delta and gamma



Delta Zero

Delta measures how much an option changes when the underlying changes.

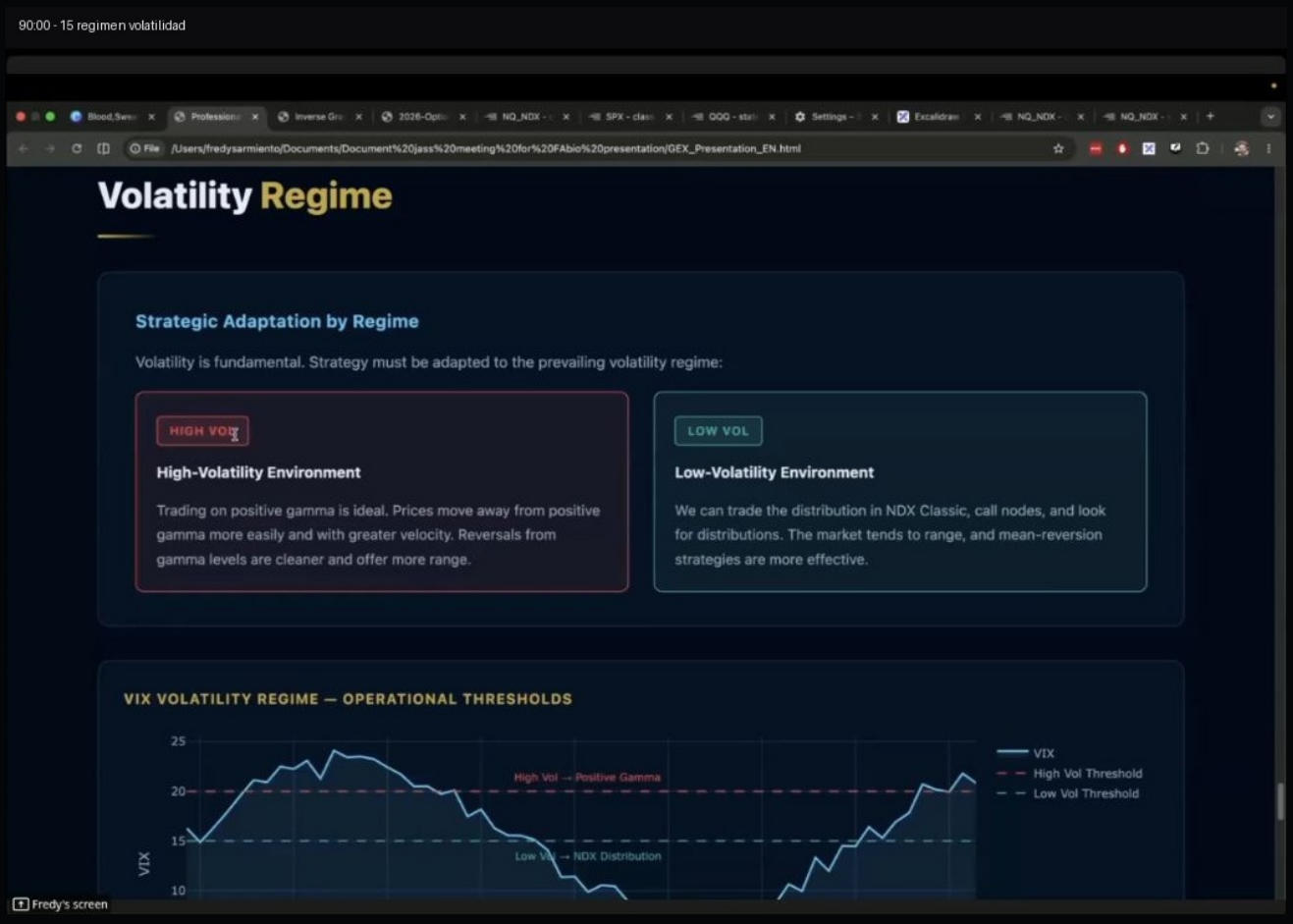
- ? Deep in-the-money call: delta tends toward 1.
- ? Deep in-the-money put: delta tends toward -1.
- ? Near ATM, delta changes faster.



Call Put Delta Gamma

Gamma measures the speed at which delta changes. This is why ATM zones or areas with large open interest can force rapid hedging adjustments.

12. Volatility regime

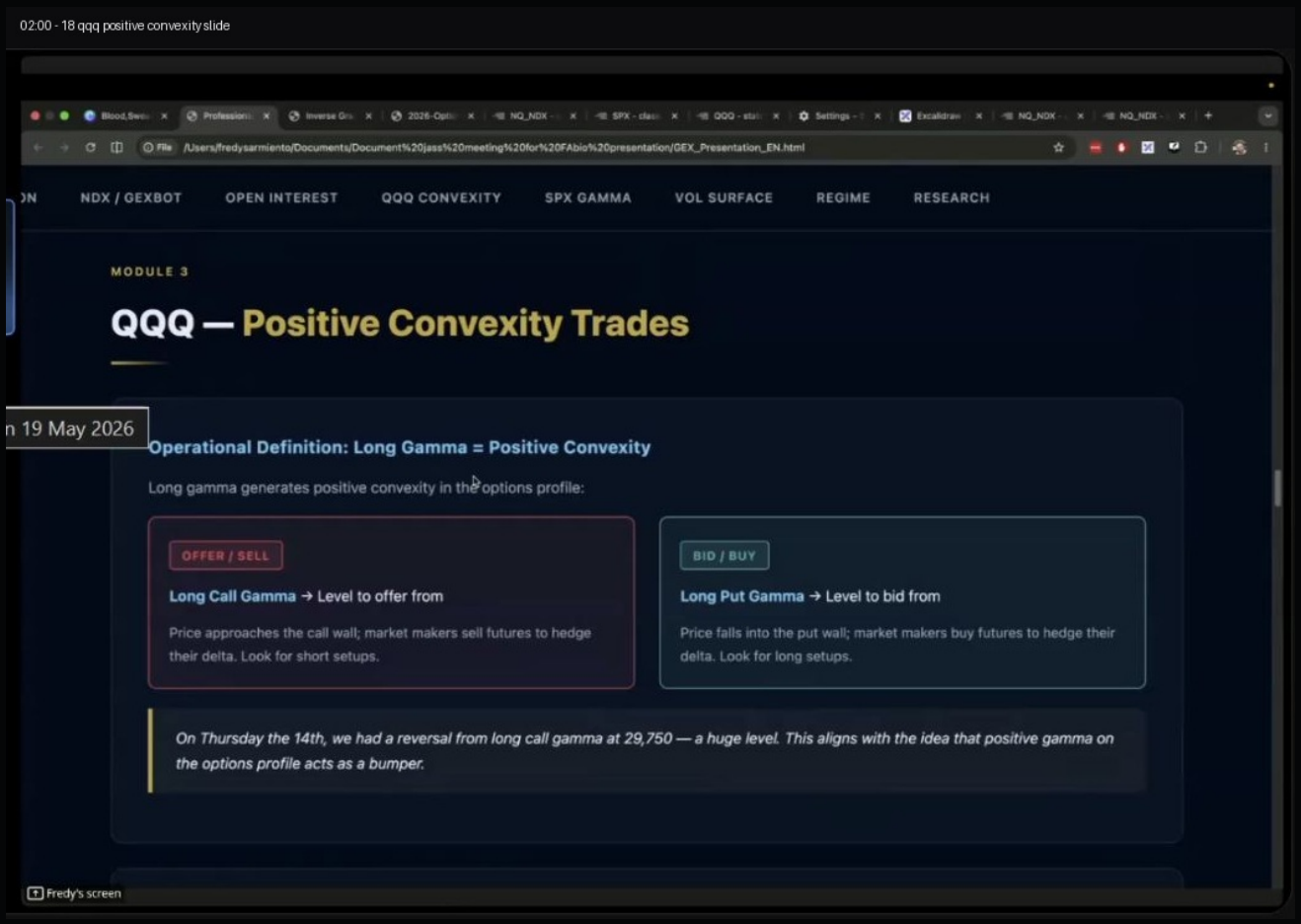


Volatility Regime

Strategy changes depending on the environment:

- ? High volatility: more range, more speed, and cleaner reversals from gamma zones when confirmed.
- ? Low volatility: more range behavior, mean reversion, and distribution-based setups.

13. QQQ - Positive Convexity Trades



QQQ Positive Convexity

The final part introduces QQQ and positive convexity:

```
Long Gamma = Positive Convexity
```

Two operational readings:

- Long Call Gamma -> Offer / Sell: if price approaches a call wall, market makers may sell futures to hedge delta. Look for short setups only if rejection confirms.
- Long Put Gamma -> Bid / Buy: if price drops into a put wall, market makers may buy futures to hedge delta. Look for long setups only if reaction confirms.

The slide mentions a reversal from long call gamma at 29,750, acting like a bumper.

14. Big trades and reaction zones



Big Trades Support



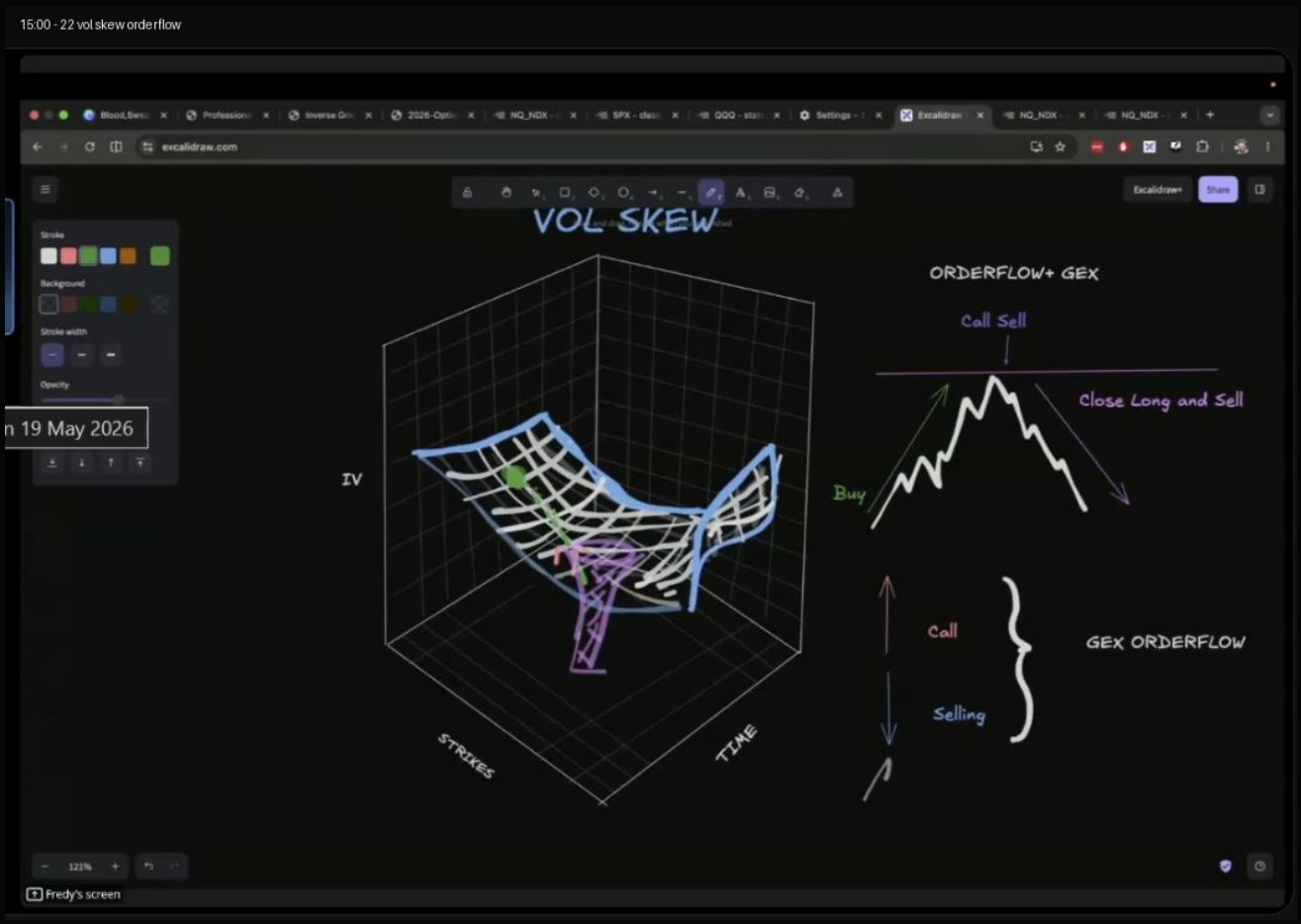
Big Trades Rejection

The examples show areas where big trades appear near relevant levels. The idea is not to copy every large trade, but to interpret whether there is:

- ? Absorption.
- ? Rejection.
- ? Failed breakout.
- ? Continuation after confirmation.

Visual example: the 29,150 area acts as a support/reaction zone, while 29,273 acts as an upper reference or rejection area.

15. Vol skew + order flow



Vol Skew Order Flow

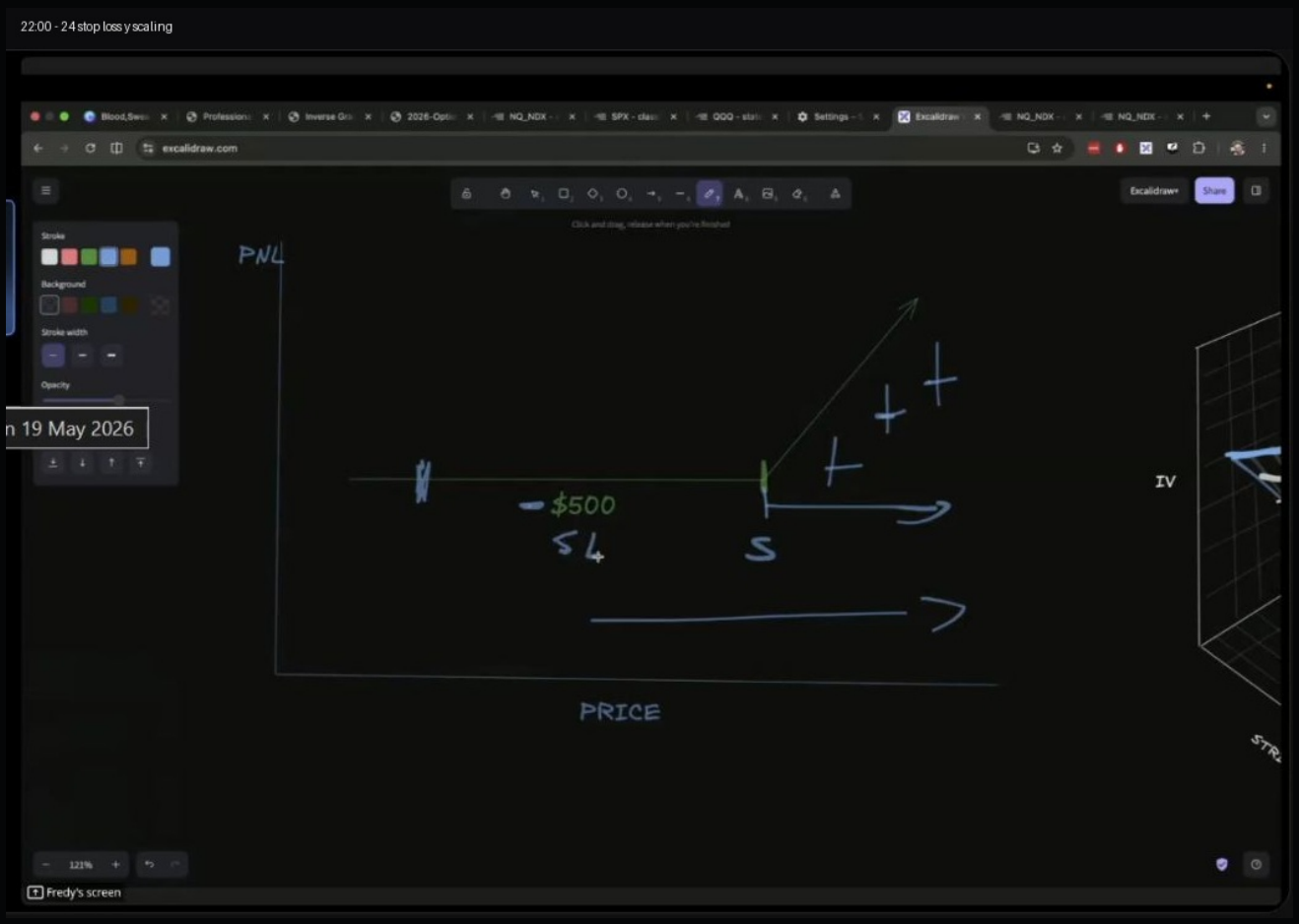
The class links volatility surface/skew with order flow:

- ? Volatility is not flat; it has slopes and curves.
- ? Price interacts with zones where the options profile forces hedging.
- ? If price enters a call-sell zone and long closing/selling appears, rejection can develop.
- ? If order flow agrees with the GEX zone, the reaction makes more sense.

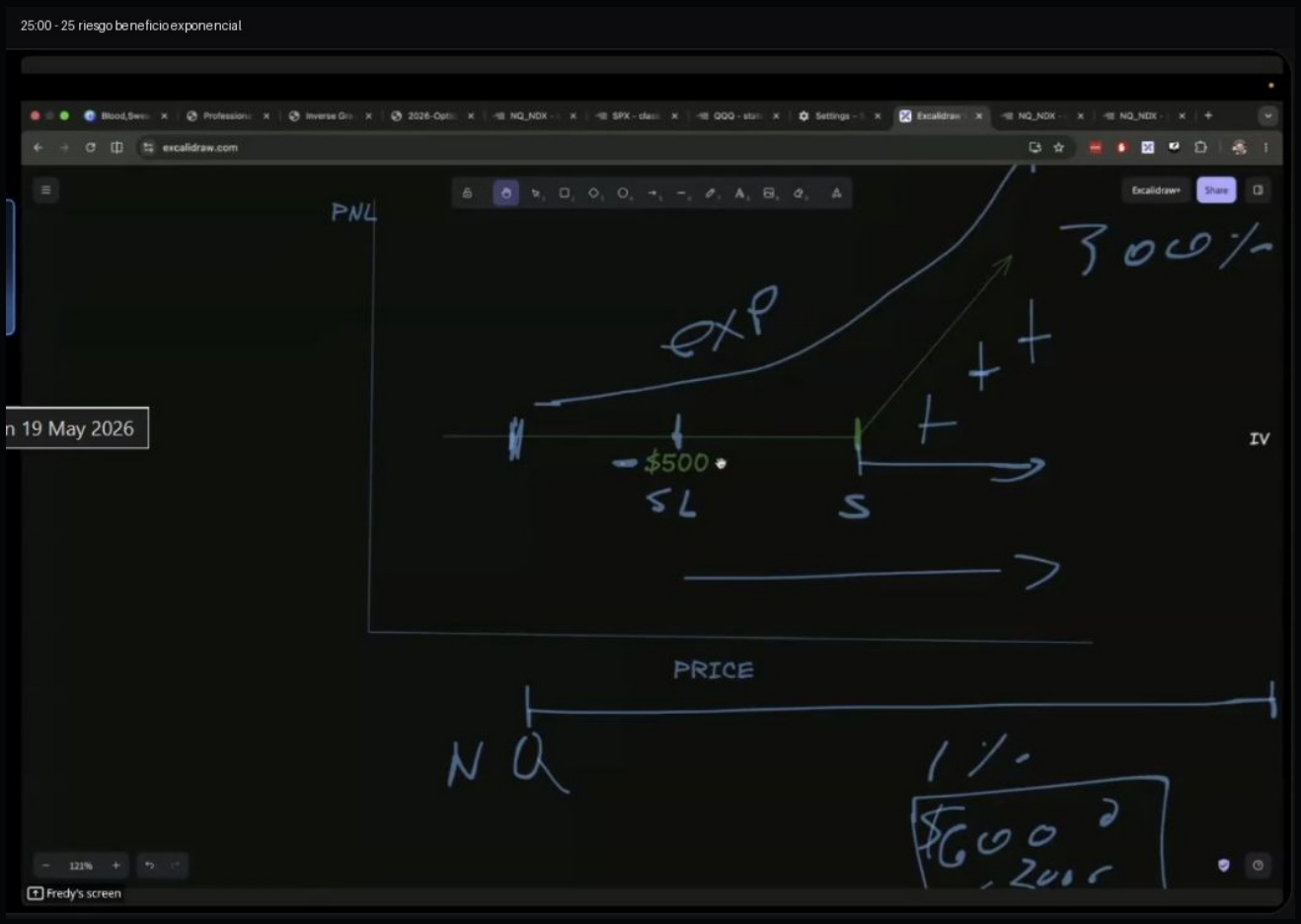
Simple framework:

```
Vol surface / skew -> pressure zones
GEX -> level map
Order flow -> real confirmation
```

16. Risk, stop, and payoff



Stop Loss and Scaling



Asymmetric Risk Reward

The PnL drawings emphasize opportunities with limited loss and large upside. The visible idea is:

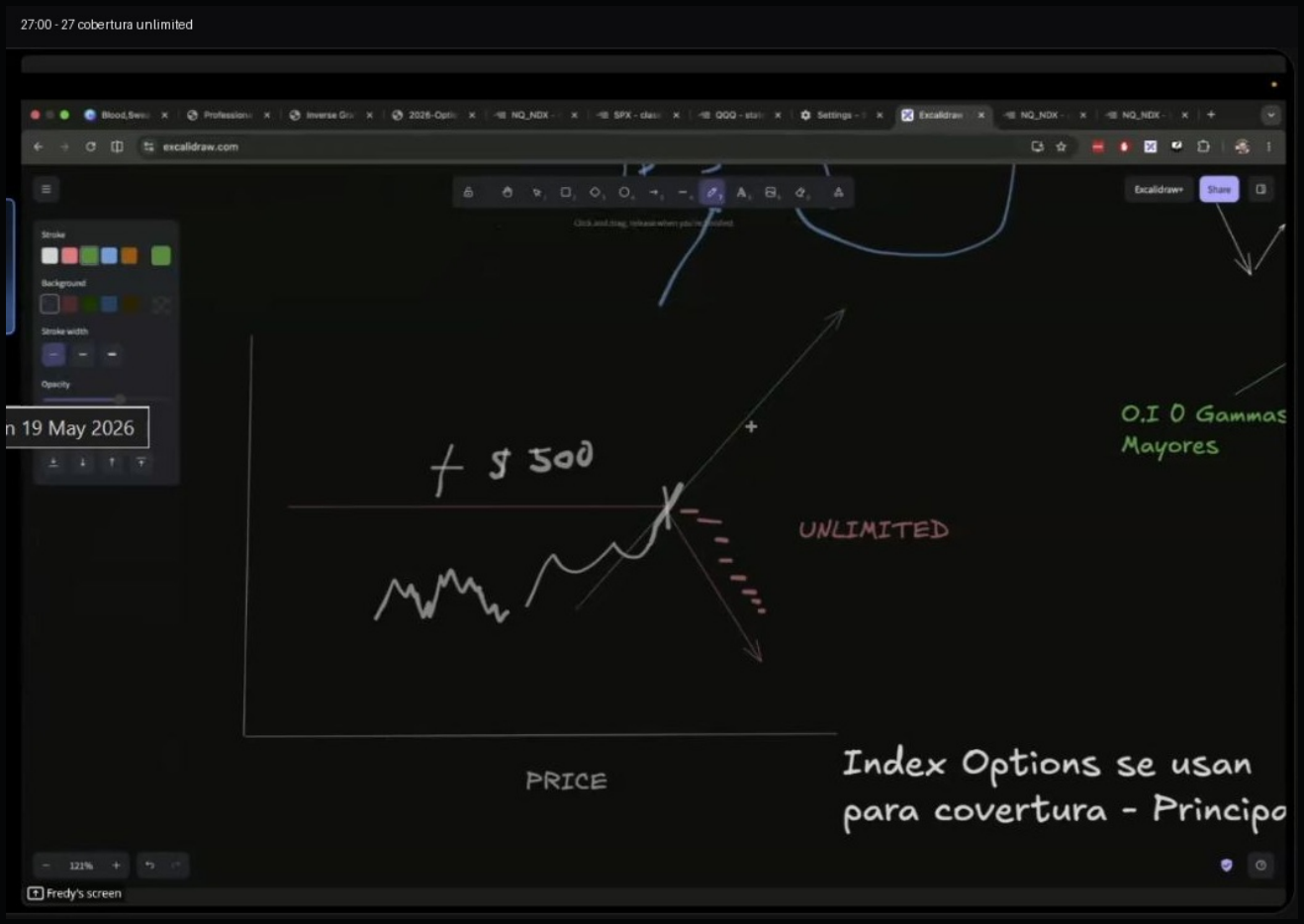
- ? Defined risk close to the level.
- ? Clear stop if the reaction fails.
- ? Scaling/adding only after price confirms.
- ? Looking for asymmetry where potential reward is much larger than risk.

The screen shows the idea of losing a fixed amount if wrong, while letting the trade run if price accelerates.

17. Index options as hedging tools



Index Options Hedging



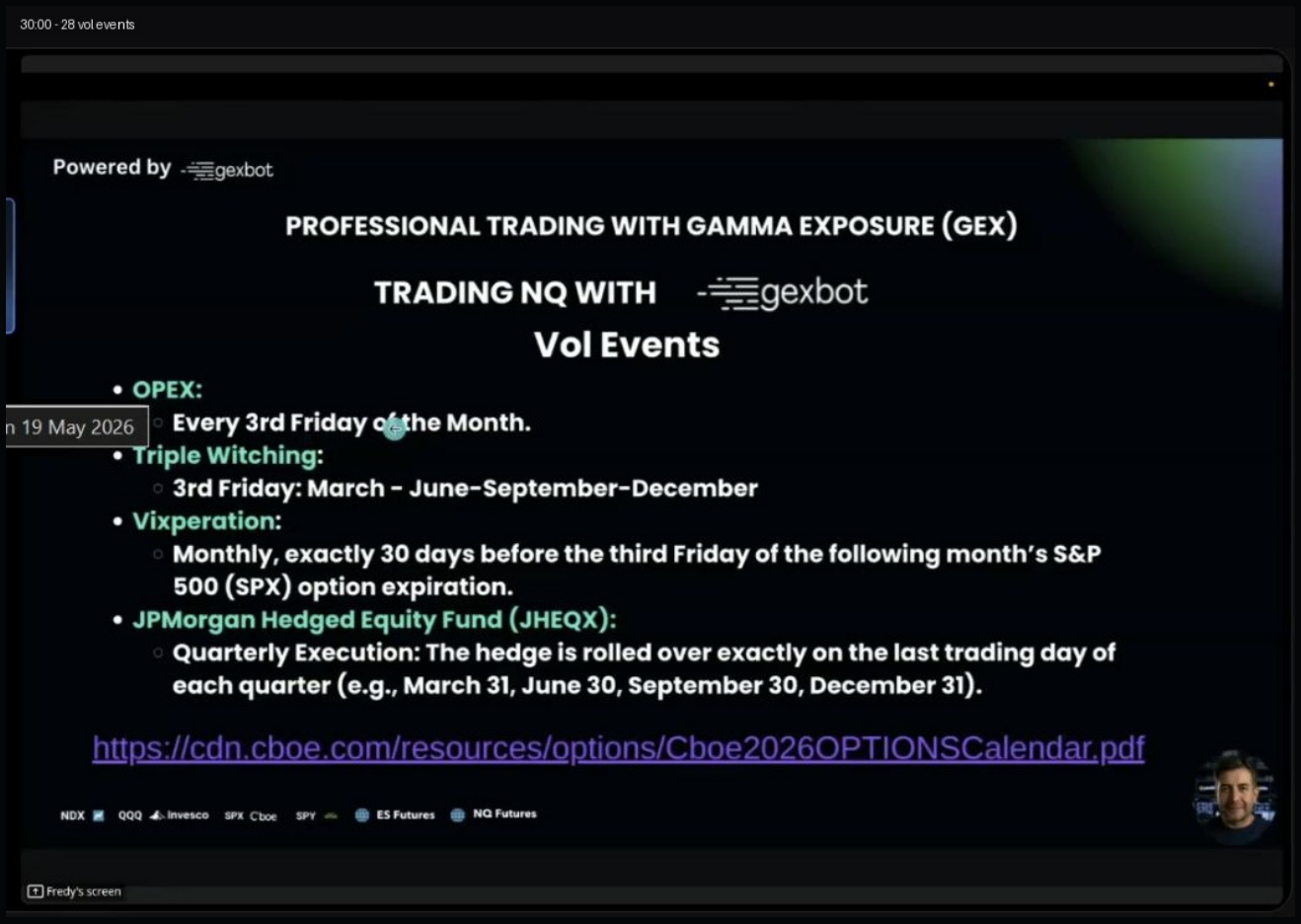
Hedging Unlimited

The final part mentions that index options are used for hedging. This connects to the central mechanism of the class: when large participants hedge delta/gamma, their adjustments can affect the movement of the underlying.

Operational idea:

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Large options positions -> hedging -> futures flow -> price reaction
```

18. Volatility events



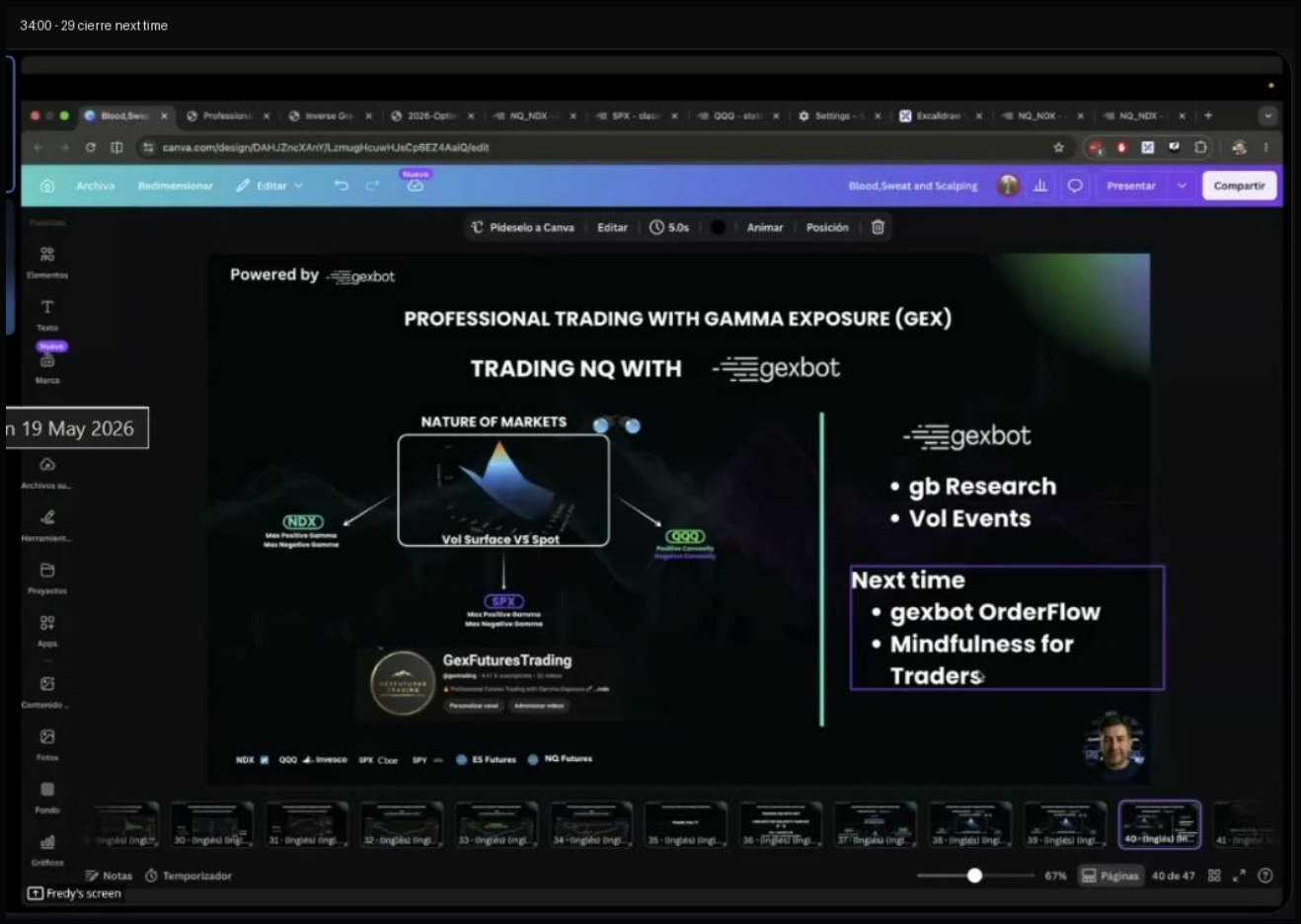
Vol Events

Events highlighted by the instructor:

- ? OPEX: third Friday of every month.
- ? Triple Witching: third Friday of March, June, September, and December.
- ? VIXperation: monthly, around 30 days before the third Friday of the following S&P 500 options expiration.
- ? JPMorgan Hedged Equity Fund (JHEQX): quarterly hedge execution at the end of each quarter.

These events matter because they can change the gamma profile, volatility, and hedging flows.

19. Closing and next class



Next Class Closing

The closing returns to the general map: GEXBot, research, volatility events, and the next class about order flow and trader mindfulness.

20. Final study cheat sheet

1. GEX is not a signal; it is a map.

2. First, check the regime:
   high volatility / low volatility

3. Then check structure:
   trend / range / macro bias

4. Mark nodes:
   max gamma, call wall, put wall, large open interest

5. Wait for price:
   do not chase; let price reach the level

6. Confirm:
   tape, delta, volume, big trades, order flow

7. Manage:
   small risk close to the level
   add only after confirmation

8. Watch key events:
   OPEX, triple witching, VIXperation, JHEQX

21. Ultra-short summary

The class teaches how to use GEXBot as a professional market map for NQ/NDX/QQQ: locate gamma/open interest levels, understand the volatility regime, wait for price to reach important zones, and confirm with order flow. The final part reinforces QQQ positive convexity, big trades, volatility skew, risk management, and events that can change market behavior.